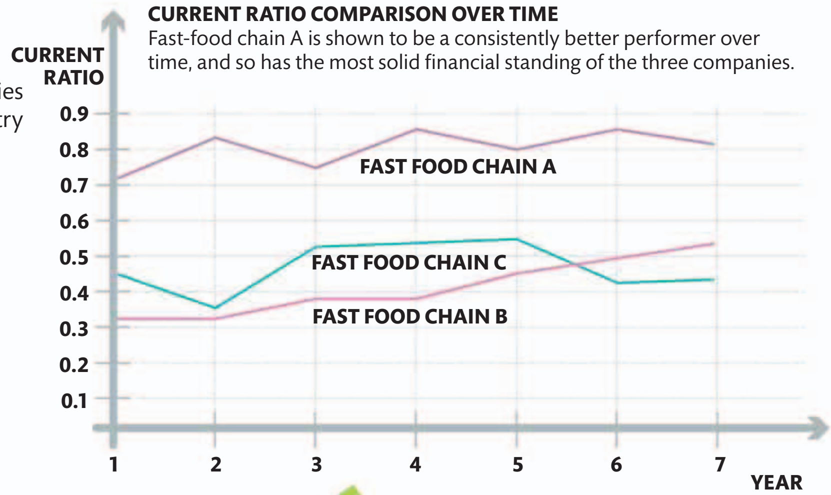
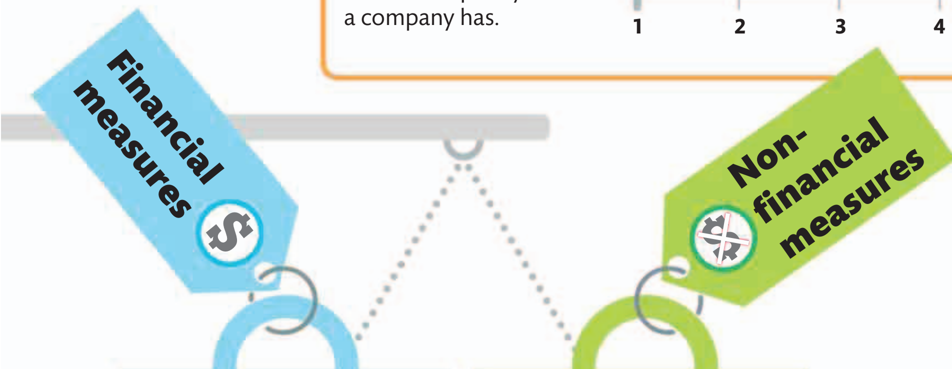
TREND ANALYSIS USING PERFORMANCE MEASUREMENTS

A comparison of either financial ratios or KPIs between companies in the same industry and across time is often used to track a company's performance. Current ratios are calculated by dividing current assets by current liabilities: the higher the ratio, the more liquidity a company has.

CURRENT RATIO COMPARISON OVER TIME
Fast-food chain A is shown to be a consistently better performer over time, and so has the most solid financial standing of the three companies.





Financial ratios

- Used by investors and lenders to gauge financial health of an organization: if it's likely to survive economic slump, and what prospects it has for future growth
- Standard set of ratios used by the financial industry
- Calculated based on figures provided in financial reports

See pp.148–149.

Key performance indicators

- Used internally and by investors, as they appear in financial statement
- May be calculated daily or even more frequently for internal use
- Companies can set diverse KPIs to reflect future goals
- Unique to each company

See pp.146–147.

THE BIGGER PICTURE

Some professional services companies, such as multinational PwC, undertake quarterly surveys, interviewing senior executives to find out how optimistic they are about their sector and the wider economy. Such surveys help companies measure their own performance objectively.

69%
of multinationals link performance measures to future financial results